

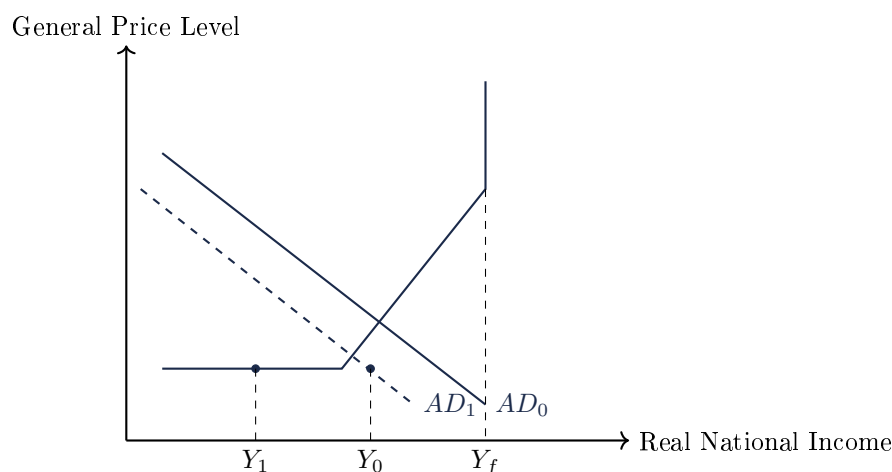
Document 14. Unemployment — Types, Causes & Consequences

Topic overview. Unemployment refers to the situation where people who are willing and able to work and are actively seeking jobs cannot find employment. Three main types are tested: cyclical (demand-deficient), structural, and frictional. For Singapore, the full-employment rate is achieved at an unemployment rate of approximately 2–3%.

Section A. Important Definitions

Unemployment	People who are willing and able to work and are actively seeking jobs but cannot find employment.
Labour force	People who are willing and able to work and are actively seeking jobs.
Full employment	Enough jobs exist to match the number of job seekers. Singapore ~2–3% unemployment rate.
Cyclical (demand-deficient) unemployment	Caused by a lack of AD; commonly associated with a recession.
Structural unemployment	Mismatch of skills between job seekers and employers.
Frictional unemployment	Imperfect information about job availability; temporary while transitioning between jobs.
Seasonal unemployment	Workers unemployed due to low demand at particular times of year.
Underemployment	High-skilled workers in low-skilled jobs (e.g. graduate driving Grab).
Hysteresis	Prolonged cyclical unemployment becoming structural; workers lose skills and confidence.

Section B. Diagram — Cyclical Unemployment from Falling AD



Section C. Framework: Cyclical Unemployment due to Falling AD (verbatim Crucible)

Step 1. Select the relevant $C/I/G/(X - M)$ factor.

Step 2. Consequently, $C/I/G/(X - M)$ decreases. As $C/I/G/(X - M)$ is a direct component of AD, this causes a decrease in AD, ceteris paribus, represented by a leftward shift in the AD curve AD_0 to AD_1 .

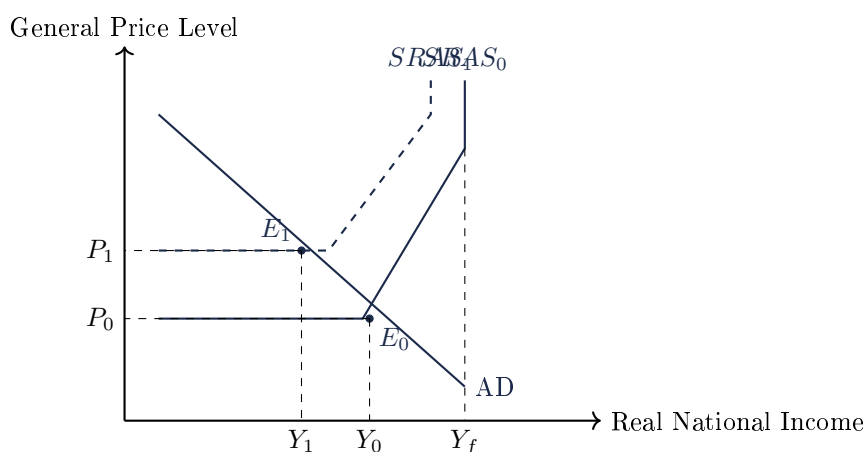
Step 3. The decrease in AD creates surpluses in the economy, and firms experience an unplanned increase in inventories. Producers will thus decrease their production level in the next period to prevent the accumulation of excessive stockpiles.

Step 4. Consequently, real national output falls more than proportionately from Y_0 to Y_1 via the multiplier effect.

Step 5. As firms decrease production levels, they retrench more workers as the demand for labour is a derived demand. The lack of AD at AD_1 results in Y_1 being less than the full employment output at Y_f .

Step 6. Thus, cyclical unemployment increases from Y_0Y_f to Y_1Y_f .

Section D0. Diagram — Cyclical Unemployment due to Decreasing SRAS



Section D. Framework: Cyclical Unemployment due to Decreasing SRAS (verbatim Crucible)

Step 1. Select the relevant SRAS factor and explain how it increases costs of production.

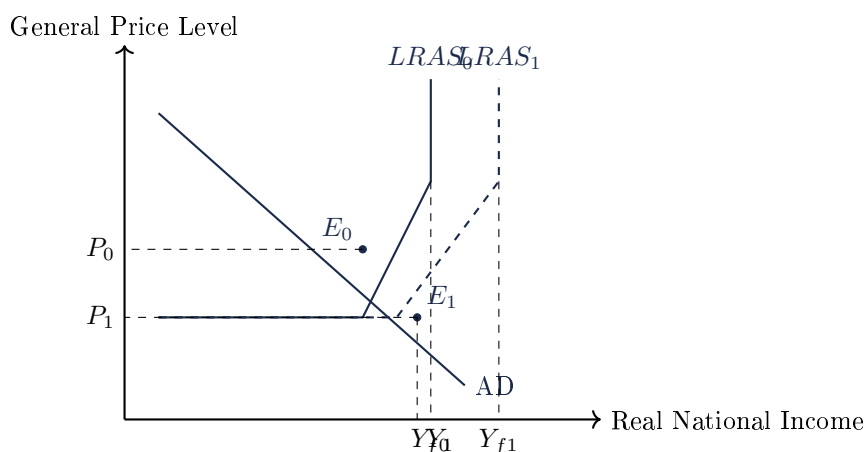
Step 2. This leads to a decrease in SRAS, represented by an upward shift in the SRAS curve from $SRAS_0$ to $SRAS_1$. Consequently, shortages are created in the economy.

Step 3. As resources become less readily available, firms are forced to bid up for factors of production. Thus, as firms find it less profitable to produce, they decrease production levels and cause a fall in real national output from Y_0 to Y_1 .

Step 4. As firms decrease production levels, they retrench more workers as the demand for labour is a derived demand. At E_1 , the lack of AD results in Y_1 being less than the full employment output at Y_f .

Step 5. Thus, cyclical unemployment increases from Y_0Y_f to Y_1Y_f .

Section E0. Diagram — Cyclical Unemployment due to Increasing LRAS



Section E. Framework: Cyclical Unemployment due to Increasing LRAS (verbatim Crucible)

Step 1. Select the relevant LRAS factor and explain how it increases productive capacity.

Step 2. This leads to an increase in LRAS, represented by a rightward shift in the LRAS curve from $LRAS_0$ to $LRAS_1$. Consequently, surpluses are created in the economy.

Step 3. As resources become more readily available, firms are able to obtain factors of production more cheaply. Thus, as firms find it more profitable to produce, they increase production levels and cause an increase in real national output from Y_0 to Y_1 .

Step 4. Due to the increased potential output from Y_{f0} to Y_{f1} , more jobs are available in the economy. Thus, at E_1 , the lack of AD results in Y_1 being less than the full employment output at Y_{f1} .

Step 5. Thus, cyclical unemployment increases from Y_0Y_{f0} to Y_1Y_{f1} .

Section F. Causes of Structural Unemployment

1. **Changes in the pattern of demand.** Sunset industries (e.g. local electronics in Singapore in the 1980s) lose long-run demand. Workers without relevant skills cannot transition to new industries.
2. **Advancements in technology / changes in method of production.** Labour-replacing technologies (e.g. Amazon automation) displace low-skilled workers. Sometimes called **technological unemployment**.
3. **Depletion of natural resources.** Mining communities (e.g. South Wales Coalfields) lose long-term employment when resources are exhausted; workers have niche skills.

Section G. Causes of Frictional Unemployment

1. **Imperfect information.** Job seekers and employers don't know all options. Singapore fresh graduates take 3–6 months on average to find employment.
2. **Mismatched expectations.** Job seekers reject initial offers (wages, career progression, working hours).
3. **Number of applicants vs jobs available.** Many candidates competing for few positions extends search time (e.g. Chinese law/finance graduates).

Section H. Consequences of High Unemployment

- **Economic growth.** Lower investor confidence, lower savings, lower I , lower AD; potential growth slows due to less capital accumulation and skill atrophy.
- **Hysteresis.** Prolonged cyclical unemployment $\rightarrow$ skill loss + demoralisation $\rightarrow$ structural unemployment that persists after recovery.
- **BOP.** Negative investment climate discourages FDI; capital and financial account worsens.
- **Efficiency.** Wastage of scarce resources; output below potential.
- **Equity.** Widening Gini between employed and unemployed.
- **Material SOL.** Lower household purchasing power.
- **Non-material SOL.** Higher crime, alcoholism, depression, stress levels.

NOTE: There can be benefits of high unemployment: dampens demand-pull inflation; reduces wage-cost pressure (lower SRAS $\rightarrow$); current account improves as import demand falls. These are usually outweighed by the costs.

Section I. Consequences of Low Unemployment (benefits and a few costs)

Benefits: sustained growth, improved BOP (via FDI), higher material and non-material SOL, lower government transfer burden, inclusive growth.

Potential costs: demand-pull inflation if economy operates above Y_f ; current account may worsen as M rises with higher household income.

Section J. Singapore Applications

- **Resident unemployment** historically 2–3%; tightened below 2% in 2023.
- **Structural** addressed via SkillsFuture, Workfare Skills Support, Career Conversion Programmes (CCPs).
- **Cyclical (COVID 2020):** Jobs Support Scheme, Jobs Growth Incentive, SGUnited package.
- **Frictional:** MyCareersFuture portal (WSG), Career Trial scheme.

NOTE: Frameworks reproduced word-for-word from the Crucible Education Centre handout.